Summary of ASC 606

Adoption of ASC 606

- As of December 31, 2018, SailPoint lost its Emerging Growth Company “EGC” status which accelerated the requirement of ASC 606 adoption.
- SailPoint was required to adopt the revised standard as of January 1, 2018, utilizing the modified retrospective method for all contracts with a remaining performance obligation as of the date of adoption.
- As a result, SailPoint was required to provide full year 2018 financial statements on an ASC 606 basis.

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Purpose of this Summary

- The following slides are intended to summarize what has changed within our financials under ASC 606.
- This presentation is focused on the most meaningful changes in the opinion of management and not intended to be an exhaustive summary of all changes under ASC 606. We encourage you to review our 10-K when filed.
- The transaction examples shown in these materials are not actual transactions. They're solely intended to provide directional guidance on how our revenue and expense recognition will change under ASC 606.
- Actual accounting of a contract is highly dependent on a number of factors that cannot be forecasted or easily summarized.

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Changes to Revenue Recognition

Transaction Type	ASC 605 (Prior Treatment)	ASC 606 (Current Treatment)
Perpetual License	License element recognized upon satisfaction of performance obligations Maintenance element recognized ratably	License element recognized upon satisfaction of performance obligations Maintenance element recognized ratably See **Note 1** below
Term License	Contract value recognized ratably over the term of the contract (typically three years)	License element recognized upon satisfaction of performance obligations Maintenance element recognized ratably over the term of the contract (typically three years)
SaaS	Entire contract value recognized ratably	Entire contract value recognized ratably
Professional Services	As delivered	As delivered

(1) While the way in which revenue is recognized on a perpetual license transaction has not changed under ASC 606, the value attributed to the license and maintenance elements is different under ASC 606. Please see slide 6 for additional information and an illustrative example.

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Changes to Recognition of Commission Expense (1)

Transaction Type	ASC 605 (Prior Treatment)	ASC 606 (Current Treatment)
Perpetual License	Recognized fully upon satisfaction of performance obligations	License element recognized upon satisfaction of performance obligations Remaining amount recognized ratably over estimated customer life (5 years)
Term License	Recognized ratably over the term of the contract	License element recognized upon satisfaction of performance obligations Remaining amount recognized ratably over estimated customer life (5 years)
SaaS	Recognized ratably over the term of the contract	Recognized ratably over estimated customer life (5 years)

(1) "Commission expense" includes partner fees, rep commissions and any related payroll tax.

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Illustrative Perpetual License Example (Standard Support)

Example Deal Summary:

- $100 perpetual license contract inclusive of 12 months of prepaid standard (8x5) support
- Contract signed and software delivered on 1/1/2019
- Assume customer renews maintenance for years 2 and 3

ASC 605

	2019	2020	2021
License	$80	-	-
Maintenance (“Subscription”)	20(1)	$20(1)	$20(1)
Total Revenue	**$100**	**$20**	**$20**

ASC 606

	2019	2020	2021
License	$84	-	-
Maintenance (“Subscription”)	16(1)	$20(1)	$20(1)
Total Revenue	**$100**	**$20**	**$20**

(1) Illustration simplified to show annual effect. Revenue would be recognized ratably across the period shown.

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Illustrative Perpetual License Example (Premium Support)

Example Deal Summary:

- $100 perpetual license contract inclusive of 12 months of prepaid premium (24x7) support
- Contract signed and software delivered on 1/1/2019
- Assume customer renews maintenance for years 2 and 3

ASC 605

	2019	2020	2021
License	$75	-	-
Maintenance (“Subscription”)	25(1)	$25(1)	$25(1)
Total Revenue	**$100**	**$25**	**$25**

ASC 606

	2019	2020	2021
License	$80	-	-
Maintenance (“Subscription”)	20(1)	$25(1)	$25(1)
Total Revenue	**$100**	**$25**	**$25**

(1) Illustration simplified to show annual effect. Revenue would be recognized ratably across the period shown.

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Illustrative Term License Example (Standard Support)

Example Deal Summary:

- $300 three year term license contract inclusive of standard (8x5) support
- Contract signed and software delivered on 1/1/2019

ASC 605

	2019	2020	2021
License	$100(1)	$100(1)	$100(1)
Maintenance (“Subscription”)	-	-	-
Total Revenue	**$100**	**$100**	**$100**

ASC 606

	2019	2020	2021
License	$188	-	-
Maintenance (“Subscription”)	38(1)	$38(1)	$38(1)
Total Revenue	**$225**	**$38**	**$38**

Note: Revenue figures might not sum to total contract value referenced above due to rounding.
(1) Illustration simplified to show annual effect. Revenue would be recognized ratably across the period shown.

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Illustrative Term License Example (Premium Support)

Example Deal Summary:

- $300 three year term license contract inclusive of premium (24x7) support
- Contract signed and software delivered on 1/1/2019

ASC 605

	2019	2020	2021
License	$100(1)	$100(1)	$100(1)
Maintenance ("Subscription")	-	-	-
Total Revenue	**$100**	**$100**	**$100**

ASC 606

	2019	2020	2021
License	$171	-	-
Maintenance ("Subscription")	43(1)	$43(1)	$43(1)
Total Revenue	**$214**	**$43**	**$43**

Note: Revenue figures might not sum to total contract value referenced above due to rounding.
(1) Illustration simplified to show annual effect. Revenue would be recognized ratably across the period shown.

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